

to recover and get one back above the critical path before extending the bond ladder.

This action is designed to relieve the stress on the growth portfolio and allow it a better chance to recover before taking further distributions from it. It is predicated on faith in “stocks for the long run.” Unlike the other two ladder extension strategies, this one moves the portfolio toward 100 percent stocks when the portfolio is in danger.

Exhibit 7.19 provides the outcomes using a critical path approach to bond ladder extension based on the same Monte Carlo simulation as used previously. In this case, we can observe that remaining financial assets quickly fall below the glide path threshold, leading the bond ladder to be less than ten years for much of the retirement period. The bond ladder dissipates by year thirteen of retirement, as the critical path threshold for extending the ladder is not passed again after the fourth year. Unlike with the other strategies, this pushes asset allocation to 100 percent stocks as the bond ladder depletes before the growth portfolio. To signify growth portfolio depletion, I show that the asset allocation drops to 0 percent stocks once no assets remain. For this simulation, retirement spending was fully supported for thirty years, and the growth portfolio is depleted in year thirty-one.

Exhibit 7.19

One Simulation for a Personalized 10-Year Rolling Ladder

To Support an Initial \$40,000 Spending Goal with a 2% COLA